Hyperion Asset Management

Due Diligence Questionnaire Response

Hyperion Australian Growth Companies Fund

March 2026

Issued by: Hyperion Asset Management Limited

SAMPLE DOCUMENT FOR DEMONSTRATION PURPOSES ONLY. This document contains synthetic data inspired by publicly available information and does not constitute financial advice.

1. Risk Management Framework

Hyperion's risk management reflects the concentrated nature of the strategy:

Risk Governance

- Board Risk Committee: 2 independent directors + CFO, meets quarterly
- Investment Committee: CIO (Mark Arnold) + Deputy CIO (Jason Orthman) -- meets weekly
- External risk reporting: Monthly risk reports prepared by independent risk consultant

Quantitative Risk Limits

Maximum Single Stock	10% at cost, 15% at market value
Maximum Sector Weight	40%
Minimum Holdings	15
Maximum Cash	20%
Tracking Error (expected)	5-10% p.a. (no hard limit)
Drawdown Review Trigger	-20% from peak

Note: Hyperion deliberately does not impose VaR or CVaR limits. The firm's view is that volatility-based risk measures are inappropriate for a long-term, concentrated quality growth strategy where short-term drawdowns in quality names represent opportunities, not risks. The primary risk metric is permanent capital impairment, assessed qualitatively through ongoing fundamental research.

Escalation: Concentration limit breaches reported to Board within 24 hours. PM has 10 business days to bring within limits (longer than typical, reflecting concentrated strategy's needs). The -20% drawdown trigger activates a formal IC review of portfolio positioning and thesis integrity.

2. Operational Infrastructure

Service Providers

Custodian	National Australia Bank (APRA-regulated)
Administrator	Mainstream Fund Services
Registry	Mainstream Fund Services
External Auditor	Ernst & Young

Technology Systems

OMS/PMS	Iress (XPLAN/ViewPoint)
Risk Analytics	FactSet (outsourced risk reporting)
Compliance Monitoring	Iress Compliance (post-trade)
Research	Bloomberg Terminal + proprietary models
Reconciliation	Daily (Mainstream vs NAB)

Audit & Controls

External audit (30 June 2025): Unqualified opinion by Ernst & Young.

GS007 report from NAB (December 2025): No exceptions.

Internal controls: While Hyperion does not have a formal internal audit function (appropriate for its size), key controls are tested annually by Ernst & Young as part of the financial audit. Segregation of duties is maintained between investment, operations, and compliance.

3. Key Person Risk & Team

Mark Arnold (CIO/Founder) is a significant key person for this fund. He has managed it for its entire 30-year history. This is the most material risk factor in the DDQ.

Mitigation Measures

- Jason Orthman (Deputy CIO): 18 years experience, 15 at Hyperion. Co-manages the fund since 2011. Full authority and capability to run strategy independently.
- Team culture: Investment philosophy deeply embedded in team. All decisions are collaborative.
- Employee ownership: All investment team members hold equity, providing retention and alignment
- Non-compete: 2-year non-compete for all investment staff
- Documented process: While judgment-intensive, the investment framework is well-documented

Team Stability

Mark Arnold tenure	30 years (founder)
Jason Orthman tenure	15 years
Analyst average tenure	8 years
Team turnover (5yr avg)	5% (one departure in 5 years)

The 5% turnover is exceptionally low and reflects the employee ownership structure, Brisbane quality of life (vs Sydney/Melbourne), and strong team culture built around a singular investment philosophy.

Succession plan: Jason Orthman is the Board-designated successor to Mark Arnold. Transition planning documentation exists but Mark has indicated no plans to retire in the medium term.

4. Business Continuity & DR

RTO	4 hours (trading capability)
RPO	2 hours
DR Site	Cloud-based + home trading capability
Remote Work	All team members can trade from home

Testing

Annual BCP/DR test. Most recent (August 2025): Team operated from home for 2 days; all trading and reporting completed normally. The concentrated portfolio (22 stocks) makes operational continuity simpler than diversified strategies.

COVID validation: Fully remote operations March 2020 - September 2021. No disruptions. The small team and concentrated portfolio proved highly resilient.

BCP reviewed annually by the Board (last: July 2025). The firm's small size and simple operational model reduce BCP complexity relative to larger organisations.

5. Compliance & Regulatory

AFSL 238380 -- current, good standing, 30-year clean record.

- Compliance team: 3 professionals (CCO + 2 compliance officers)
- CCO reports to Board
- Annual compliance plan (approved January 2026)
- Post-trade compliance monitoring via Iress
- Breach register: Zero breaches in past 3 years
- Zero ASIC actions in firm's entire 30-year history
- AFCA member

The firm's unblemished 30-year regulatory record, combined with its simple operating model (single strategy, Australian equities only, no derivatives, no leverage), contributes to low regulatory risk.

6. Conflicts of Interest

Hyperion's structure minimizes conflicts:

Structural Advantages

- Single strategy: No inter-fund allocation conflicts
- Employee-owned: No external parent with conflicting interests
- No affiliated brokers or service providers
- No soft dollars (all research internal)

Personal Trading

- Pre-clearance required for all personal trades
- 60-day minimum hold (longer than industry standard of 30 days)
- Cannot trade any stock in the portfolio or under research
- Annual disclosure of all brokerage accounts
- Quarterly compliance certification

Board Independence

5 directors: 3 independent, 2 executive (Mark Arnold, Jason Orthman). Chair is independent. The majority-independent Board provides oversight of a firm where key executives are also shareholders.

7. Business Viability

Firm Revenue (FY2025)	AUD 88 million
Net Profit (FY2025)	AUD 38 million
Total AUM (Dec 2025)	AUD 8.3 billion
3-Year AUM CAGR	+5.2%
Profit Margin	~43%

AUM Trend

Dec 2023	AUD 7.4 billion
Dec 2024	AUD 7.9 billion
Dec 2025	AUD 8.3 billion

Capacity & Growth

Hyperion has historically soft-closed to manage capacity. The firm estimates the strategy's capacity at approximately AUD 12-15 billion before market impact becomes meaningful. At AUD 8.3 billion, there is runway for continued growth without compromising returns.

Staff & Retention

Total employees	28
Investment team	7
Turnover (5yr avg)	5%

The firm is highly profitable with significant free cash flow. Employee ownership provides both retention and alignment. No debt, no external investors in the management company. Financial stability is exceptional for a firm of this size.

8. Technology & Cyber Security

- Annual penetration testing (last: July 2025, no critical findings)
- MFA on all systems
- Email security: advanced threat protection
- Annual cyber security training for all staff
- Incident response plan documented and tested

Hyperion's small size and simple technology stack (minimal external connectivity, no algorithmic trading, no automated execution) reduce cyber attack surface relative to larger, more complex firms.

9. Investment Decision Process Detail

Stock selection process:

- Step 1: Quantitative screening -- identify companies with ROIC >15%, revenue growth >7%, debt/equity <50%
- Step 2: Qualitative assessment -- competitive advantage analysis (moat width, durability), management quality, addressable market size
- Step 3: Valuation -- discounted cash flow model (10-year horizon), comparison to intrinsic value growth rate
- Step 4: IC discussion -- formal presentation to CIO and Deputy CIO; unanimous agreement required for new position
- Step 5: Position sizing -- Tier assignment based on conviction level

Average time from initial idea to portfolio inclusion: 3-6 months. The team is not pressured to generate new ideas rapidly; patience and thoroughness are valued over activity.

10. Sell Discipline

Positions are sold when:

- Competitive advantage has structurally deteriorated (moat narrowing)
- Management quality declines (poor capital allocation, governance issues)
- Valuation reaches extreme levels (>40x forward earnings with no acceleration)
- A superior opportunity requires funding

Importantly, short-term share price declines are NOT a sell signal if the investment thesis remains intact. Hyperion has frequently added to positions during market selloffs.

11. Proxy Voting & Engagement

With only 22 holdings, Hyperion engages deeply with each company:

Board/management meetings p.a.	2-4 per company
Proxy votes cast (FY2025)	100% of eligible
Votes against management	15%

Key engagement topics: capital allocation discipline, executive remuneration alignment with long-term value creation, board composition and skills, climate/ESG disclosure quality.

The concentrated portfolio enables meaningful engagement -- management teams know Hyperion is a large, long-term holder and engagement carries weight.

12. Liquidity

The fund invests exclusively in ASX-listed equities:

- All 22 holdings are in the ASX 200 (highly liquid)
- Average daily volume: all positions can be liquidated within 5 trading days under normal conditions
- No unlisted investments, no derivatives, no structured products
- Cash buffer of 8% provides additional liquidity cushion

Concentration risk: While positions are large relative to the fund, they are small relative to stock liquidity (largest position is <0.5% of stock's market cap).

13. Performance Track Record Context

30-year track record highlights:

Since inception (Aug 1996)	+13.4% p.a. (vs All Ords +9.1%)
Excess return (p.a.)	+4.3% (gross), +3.2% (net of fees)
Outperformed in	22 of 30 financial years (73%)
Largest calendar underperformance	-8.2% (FY2022, value rotation)
Largest calendar outperformance	+18.5% (FY2020, quality premium)

The track record demonstrates consistent outperformance through multiple market cycles. Periods of relative underperformance have been associated with narrow value-style rallies and typically recovered within 12-18 months.

14. Capacity Management

Hyperion takes a disciplined approach to capacity:

- Estimated strategy capacity: AUD 12-15 billion
- Current AUM: AUD 8.3 billion (~60% of estimated capacity)
- History of soft-closes: Fund was soft-closed 2017-2019, reopened selectively
- Priority: Existing investor outcomes over AUM growth

As AUM approaches capacity estimates, the firm will progressively limit new investor access. This discipline is a key differentiator and protects existing investor returns.

15. Valuation Policy

All holdings are ASX-listed equities valued at closing ASX price daily. No subjective valuation judgments required. Unit pricing is calculated by Mainstream Fund Services and reconciled against NAB (custodian) daily.

16. Insurance

- Professional Indemnity: AUD 40 million
- Directors & Officers: AUD 20 million
- Crime/Fidelity: AUD 15 million
- Cyber: AUD 10 million

17. Counterparty Risk

Minimal counterparty exposure:

- No derivatives of any kind
- No securities lending
- No repurchase agreements
- Cash held with NAB (APRA-regulated ADI)

The strategy's simplicity (direct ASX equity holdings + cash) means counterparty risk is limited to the custodian and cash deposit bank.

18. Environmental Policy

Hyperion's ESG integration focuses on quality signals:

- Companies with poor environmental practices often signal management quality issues
- Portfolio carbon intensity: 45 tCO_2e/$M revenue (well below benchmark)
- Zero exposure to fossil fuel extraction or thermal coal
- Climate risk considered in all company assessments via long-term DCF impact

19. Appendix -- Organisation Structure

Board of Directors (5 members, 3 independent)

-> Mark Arnold (CIO & Managing Director)

-> Jason Orthman (Deputy CIO)

-> 3 Research Analysts

-> 1 Quantitative Analyst

-> 1 ESG/Stewardship Analyst

-> Chief Financial Officer

-> Operations (3 staff)

-> Chief Compliance Officer

-> Compliance (2 staff)

-> Head of Distribution

-> Client Services (4 staff)

Total staff: 28